

The `def` Keyword: Opening Your Trading Desk

In Python, we create functions using the `def` keyword (short for "define"), followed by a name and parentheses:

```
1. def calculate_rsi():
2.     # Function body will go here
3.     pass # 'pass' is a placeholder that does nothing
4.
```

This is like putting a name on the door of your new trading desk. We've established that a function called `calculate_rsi` exists, but we haven't yet defined what it does.

Function Names and Parameters: Specializing Your Operation

The function name should clearly describe what the function does. In trading systems, function names often reflect financial operations:

```
1. def calculate_moving_average():
2.     # Calculate a simple moving average
3.     pass
4.
5. def check_golden_cross():
6.     # Check if short-term MA crosses above long-term MA
7.     pass
8.
9. def place_market_order():
10.    # Execute a market order
11.    pass
```

Most functions need input information to do their job. We specify these inputs as parameters—variables listed inside the parentheses:

```
def calculate_moving_average(prices, window):
    # Calculate moving average of 'prices' using 'window' length
    pass
```

In this example, `prices` and `window` are parameters—placeholders for the actual values that will be provided when the function is called. Think of them as the required inputs your trading desk needs to perform its analysis.